

Multiple Choice (10 marks)

1. Which characteristic is likely a part of a monopoly market but not of monopolistic competition?
 - (a) Deadweight loss exists
 - (b) Perfect competition
 - (c) Price taker
 - (d) Many sellers and buyers
 - (e) High barriers to entry
2. Which of the following will increase wages for tuba makers?
 - (a) A decrease in the cost of tuba-making materials
 - (b) An increase in the number of graduates at tuba maker training school
 - (c) An increase in the tax on tubas
 - (d) An increase in the number of tuba maker training schools
 - (e) An increase in the price of tubas
3. What gives rise to the difference in the aggregate demand for a nontrading or closed economy from a trading or open economy?
 - (a) Differences in taxation policies between economies
 - (b) The inclusion or exclusion of foreign direct investment
 - (c) absence of investment
 - (d) Variances in the level of technological advancement
 - (e) Variations in the savings rate of the population
4. Why is the Wagner Act (officially the National Labor Relations Act), considered to be "labor's Magna Charta"?
 - (a) It introduced mandatory profit sharing between employers and employees
 - (b) It obligated employers to bargain in good faith with a union
 - (c) It outlawed company unions
 - (d) It created a universal pension system for all workers regardless of employer contributions
 - (e) It allowed for automatic union membership for all employees in a workplace
5. What is gross private domestic investment?

- (a) Personal investments in real estate
- (b) Buying of stocks and bonds
- (c) Depreciation of capital
- (d) Transfer of ownership of existing assets
- (e) Government spending on infrastructure projects

True / False (10 marks)

Answer True or False

- 6. True or False: Increasing government spending without changing taxes is likely to gradually increase real GDP without major inflationary pressure.
- 7. True or False: Lower interest rates in the United States generally cause a decreasing value of the dollar and a decrease in U.S. exports.
- 8. True or False: The primary focus of microeconomics is on individual units within the overall economy, such as households and firms.
- 9. True or False: A celebrity's income from endorsements is considered an example of transfer earnings rather than competitive earnings.
- 10. True or False: Economic profits are determined by subtracting implicit costs from explicit costs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of opportunity cost by analyzing Nancy's decision to study for an exam instead of working. How does her choice reflect the benefits and costs associated with her decision?
- 12. Discuss the significance of the Dickey-Fuller test in identifying autocorrelation up to the third order in time series data. How does it contribute to economic analysis?

End of Paper